Regression Analytical #2

Thursday, October 5, 2017 2:15 PM

$H_0: \alpha = 0.5$

$H_a: \alpha > 0.5$

$\hat{\alpha} = 0.3$

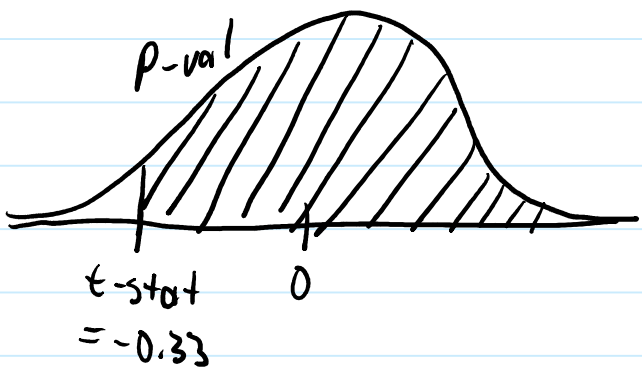
$\alpha_0 = 0.5$

Excel:

$$t\text{-stat} = 0.5 = \frac{\hat{\alpha} - 0}{SE} = \frac{\hat{\alpha}}{SE}$$

$$\Rightarrow SE = \frac{\hat{\alpha}}{0.5} = \frac{0.3}{0.5} = 0.6$$

$$t\text{-stat} = \frac{\hat{\alpha} - \alpha_0}{SE} = \frac{0.3 - 0.5}{0.6} = -0.33$$



$$\text{P-val} = \text{Prob}(t \geq t\text{-stat})$$

$$= 1 - \text{t.dist}(-0.33, \text{dfe})$$

$$= 63\%$$